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DIVYAM MOUR

Research Analyst, Samco Securities

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A couple of years ago, the group launched the Torrent 2.0 strategy that focused, among other things, on transition to renewable energy. “It has played out well and we have built a project pipeline across thermal, renewables, storage distribution and even green hydrogen,” says Mehta.

Divyam Mour, Research Analyst at Samco Securities, says Torrent Power stands out due to its vertically integrated utility structure. “They own and operate across generation, transmission and licensed distribution, a rarity among listed power companies,” he says.

One of its recent achievements has been turning

THE TORRENT GROUP WENT IN FOR A BRAND REFRESH, THE FIRST IN FOUR DECADES, AS IT STARTS TO LOOK AT MORE B2C BUSINESSES

around loss-making power distribution assets in Bhivandi in Maharashtra, Agra in Uttar Pradesh and Daman after taking them over.

Acquisitions, in fact, have become an important part of the group’s growth strategy. Last June, Torrent Pharma acquired JB Chemicals & Pharma at an equity valuation close to ₹26,000 crore. “For Torrent Power, it will continue to be a significant area of focus,” says Mehta.

Mour says Torrent’s M&A track record is exceptional in India’s power sector. “The sector has witnessed enormous value destruction from over-leveraged and poorly timed buyouts,” he says. Patience and price discipline are critical, he says. “Torrent typically waits for motivated sellers or distressed situations to acquire assets at meaningful discounts to replacement cost rather than competing aggressively in auctions,” adds Mour.

Picking out examples like Sugan (a gas-based plant near Surat in Gujarat) in infrastructure, distribution franchise expansions, and bolt-on renewable assets, Mour says Torrent has integrated well and delivered against strategic rationale. “There is no example of a Torrent acquisition leading to write-downs or materially impairing book value,” he adds.

In mid-February, Torrent acquired Nabha Power from L&T Power Development, a wholly-owned subsidiary of L&T, for an enterprise value of ₹6,889 crore. Nabha Power has a 1,400 MW supercritical coal-fired thermal power plant at Rajpura in Patiala district of Punjab. Mehta says the world-class plant gives Torrent access to the north India market. “We don’t have a presence there. Apart from being well-positioned in Punjab, it is among the lowest cost projects in the state,” he says. Besides, there is land for another unit with 800 MW capacity. Mehta and his team closed the deal in three months flat.

At Torrent Power, the management likes to keep things simple, aligning the strategy with what India wants. “We have capabilities across the value chain, be it coal, gas or renewable. In the past few years, the focus has been around storage solutions,” says Mehta.

A sound understanding of these capabilities has helped the company allocate capital more efficiently. “The idea is to look at opportunities that make financial sense and keep the country’s needs in mind. In the last two years, for instance, distribution companies (discoms) have realised they need more thermal capacity.” To cater to that demand, Torrent refocused there, highlighting its flexible strategy. Be it a greenfield or a brownfield opportunity, Mehta says thermal will remain a key component of the energy mix in India. “It is definitely one of our growth engines. The Nabha buy-